

Section : Economics

- Q.1** Which of the following are features of fiscal policy?
(A) Taxes and government spending are tools of fiscal policy.
(B) It is implemented by the central bank.
(C) It influences aggregate demand.
(D) It involves adjustments in public debt.

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (C) and (D) only
3. (A), (B), (C) and (D)
4. (A) and (C) only

Options 1. 1

2. 2
3. 3
4. 4

- Q.2** Arrange the following in correct sequence according to their occurrence.

- (A) Reduction in cash reserve ratio by the Reserve Bank.
(B) Involuntary unemployment situation in the economy.
(C) Increase in credit availability in the capital market.
(D) Aggregate demand falls short of aggregate supply, corresponding to full employment in the economy.

Choose the correct answer from the options given below:

1. (A), (C), (D), (B)
2. (B), (A), (C), (D)
3. (D), (B), (C), (A)
4. (D), (B), (A), (C)

Options 1. 1

2. 2
3. 3
4. 4

- Q.3** A rational consumer reaches equilibrium when:

1. Marginal rate of substitution = Marginal rate of exchange
2. Marginal rate of exchange = Price ratio
3. Marginal rate of substitution = Marginal rate of transformation
4. Total Utility = Total Cost

Options 1. 1

2. 2
3. 3
4. 4

- Q.4** Question:

Match List-I with List-II

List-I

- (A) Ex-post investment
(B) Investment multiplier
(C) Ex-ante aggregate demand
(D) Owing to increase in investment

List-II

- (I) AD function shifts upward
(II) Planned Investment + Unplanned Investment
(III) $1 / (1 - MPC)$
(IV) $I + C + cY$

Choose the correct answer from the options given below:

1. (A) – (II), (B) – (III), (C) – (IV), (D) – (I)
2. (A) – (I), (B) – (III), (C) – (II), (D) – (IV)
3. (A) – (I), (B) – (II), (C) – (IV), (D) – (III)
4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

2. 2
3. 3

Q.5 Which of the following are features of the perfect competition market?

- (A) Price taking behavior of firms.
- (B) Restriction on entry and exit of firms.
- (C) Large number of sellers and buyers.
- (D) Asymmetric Information.

Choose the correct answer from the options given below:

- 1. (A), (B) and (D) only
- 2. (A), (B) and (C) only
- 3. (A) and (C) only
- 4. (B) and (C) only

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.6 Positive Economics deals with _____.

- 1. Long term planning
- 2. Future policies and planning
- 3. What should be done
- 4. How the different mechanisms function

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.7 Which of the following is a stock variable?

- 1. Income
- 2. Capital
- 3. Production of Bricks
- 4. Capital Formation

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.8 Which of the following can shift the demand curve to the right?

- (A) Increase in the income of the consumer (for normal goods).
- (B) Decrease in the price of complementary goods.
- (C) Increase in the price of substitute goods.
- (D) Increase in the price of goods.

Choose the correct answer from the options given below:

- 1. (A), (B) and (D) only
- 2. (A), (B) and (C) only
- 3. (A), (B), (C) and (D)
- 4. (B), (C) and (D) only

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.9 Which of the following transactions will be recorded in the current account of Balance of Payment?

- 1. Borrowings from abroad.
- 2. Investment to abroad.
- 3. Increase in Foreign Exchange reserves.
- 4. Factor Income receipt from abroad.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.10 Macroeconomics emerged as a separate subject in the year _____ due to Prof. J. M. Keynes.

1. 1940s
2. 1930s
3. 1920s
4. 1950s

Options 1. 1

2. 2
3. 3
4. 4

Q.11 When the exchange rate of foreign currency increases due to managed floating rate it is known as...

1. Devaluation.
2. Depreciation.
3. Appreciation.
4. Revaluation.

Options 1. 1

2. 2
3. 3
4. 4

Q.12 Arrange the following in ascending order according to their year of implementation

- (A) The Smithsonian Agreement.
- (B) First World War.
- (C) Introduction of Liberalized Exchange Rate Management System.
- (D) The Bretton Woods Conference.

Choose the correct answer from the options given below:

1. (B), (D), (A), (C)
2. (A), (C), (B), (D)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.13 A firm will shut down in the short run if _____.

1. Price < Average Variable Cost.
2. Price < Average Fixed Cost.
3. Total Revenue > Total Cost.
4. Price = Average Cost.

Options 1. 1

2. 2
3. 3
4. 4

Q.14 Arrange the following steps of Market Equilibrium under perfect competition in the correct order.

- (A) Excess of market demand over market supply will cause excess demand situation.
- (B) Quantity demanded will fall and quantity supplied will rise.
- (C) The market will move towards the point where the quantity that the firm wants to sell is equal to the quantity that the consumer wants to buy.
- (D) The market price would tend to increase, due to competition among buyers.

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (A), (C), (B), (D)
3. (A), (D), (B), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2

3. 3

4. 4

Q.15 Match List-I with List-II

List-I

List-II

(A) Inflationary gap

(I) A cause of deficiency of AD

(B) Decline in exports

(II) A monetary measure to correct disequilibrium between AD and AS

(C) Cash reserve ratio

(III) Pursued by the government of the country

(D) Fiscal policy

(IV) There is no unemployment or underemployment in the country

Choose the correct answer from the options given below:

1. (A) – (I), (B) – (II), (C) – (III), (D) – (IV)
2. (A) – (IV), (B) – (I), (C) – (II), (D) – (III)
3. (A) – (I), (B) – (III), (C) – (IV), (D) – (II)
4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

2. 2

3. 3

4. 4

Q.16 A consumer derives 10 utils of satisfaction from consuming the 1st unit of good X and 6 utils of satisfaction from the next unit.

What is the marginal utility of the second unit?

1. 10 utils
2. 14 utils
3. 6 utils
4. 16 utils

Options 1. 1

2. 2

3. 3

4. 4

Q.17 Identify the correct sequence of events when a minimum support price (MSP) is imposed:

- (A) Government buys the surplus at the predetermined price.
- (B) Situation of surplus occurs due to imposition of floor price.
- (C) Government sets a minimum price.
- (D) Market equilibrium occurs by the intersection of demand and supply curves.

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (A), (C), (B), (D)
3. (B), (A), (D), (C)
4. (D), (C), (B), (A)

Options 1. 1

2. 2

3. 3

4. 4

Q.18 The relationship between inputs and outputs of a firm is given by

1. Cost Function
2. Production Function
3. Opportunity Cost
4. Revenue Function

Options 1. 1

2. 2

3. 3

Q.19 If multiplier is 2.5, how much investment will be required to generate additional income of 1000 crores?

1. 1000 crores
2. 400 crores
3. 100 crores
4. 250 crores

Options 1. 1

2. 2
3. 3
4. 4

Q.20 If the price of a good increases from ₹20 to ₹25 and the quantity demanded decreases from 100 units to 80 units, calculate the price elasticity of demand.

1. 1.0
2. 1.8
3. 0.8
4. 1.25

Options 1. 1

2. 2
3. 3
4. 4

Q.21 Suppose a bank has an initial deposit of ₹200. The required cash reserve ratio (CRR) is 20%. Then what will be the total money supply in an economy?

1. 4000
2. 2000
3. 1000
4. 400

Options 1. 1

2. 2
3. 3
4. 4

Q.22 Which of the following international transactions are meant to bridge the gap in Balance of Payments (BOP)?

1. Current Account transactions
2. Autonomous Transactions
3. Accommodating Transactions
4. All international transactions

Options 1. 1

2. 2
3. 3
4. 4

Q.23 If in an economy, the value of Net Factor Income from Abroad (NFIA) is ₹200 crores and the Factor Income to Abroad is ₹40 crores, identify the value of Factor Income from Abroad.

1. 200 crores
2. 160 crores
3. 240 crores
4. 180 crores

Options 1. 1

2. 2
3. 3
4. 4

Q.24 Goods and Services Tax (GST) became operational in the year:

1. 2016
2. 2018
3. 2017

4. 2014

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.25 The slope of the Production Possibility Curve (PPC) is represented by _____.

- 1. Marginal Rate of Substitution
- 2. Marginal Rate of Transformation
- 3. Marginal Rate of Exchange
- 4. Opportunity Cost

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.26 Which of the following goods undergo wear and tear, thus gradually replaced over time?

- 1. Capital Goods
- 2. Consumer Goods
- 3. Intermediate Goods
- 4. Giffen Goods

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.27 Which of the following can help to reduce the Fiscal Deficit?

- 1. Increasing Subsidies.
- 2. Increasing proceeds from the sale of PSUs.
- 3. Investing in improving public goods.
- 4. Decreasing the burden and incidence of tax.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.28 Match List-I with List-II

List-I

List-II

(A) Food Availability Decline (FAD Theory) (I) Maximum Price

(B) Price Ceiling

(II) Entitlement Failure

(C) Floor Price

(III) Minimum Support Price

(D) Public Distribution System

(IV) Fair Price Shops

Choose the correct answer from the options given below:

- 1. (A)–(I), (B)–(II), (C)–(III), (D)–(IV)
- 2. (A)–(II), (B)–(I), (C)–(III), (D)–(IV)
- 3. (A)–(I), (B)–(II), (C)–(IV), (D)–(III)
- 4. (A)–(IV), (B)–(III), (C)–(I), (D)–(II)

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.29 Among the following, identify the condition where firms face unplanned de-cumulation of inventories.

- 1. Unexpected rise in sales.
- 2. Unexpected fall in sales.

3. Change in inventories.
4. Gross value addition.

Options 1. 1

2. 2
3. 3
4. 4

Q.30 From the following, which will be included in the National Income?

1. Social security contributions by employees.
2. Expenditure on procuring the building materials for maintenance.
3. Expenditure on adding a floor to the building.
4. Payment of interest on a loan taken by an employee from the employer.

Options 1. 1

2. 2
3. 3
4. 4

Q.31 What are the equilibrium conditions in the Keynesian model of income determination?

- (A) Aggregate demand = Aggregate supply.
- (B) Savings = Investment.
- (C) Consumption = Government Expenditure.
- (D) Planned Expenditure = Planned Output.

Choose the correct answer from the options given below:

1. (A) and (B) only
2. (A), (B), and (C) only
3. (A), (C), and (D) only
4. (A), (B), and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.32 During deficient demand, RBI _____ the margin.

1. Decrease
2. Increase
3. Constant
4. Either Increase or Decrease

Options 1. 1

2. 2
3. 3
4. 4

Q.33 Which is not a cause of disequilibrium in the Balance of Payment (BoP)?

1. Political instability
2. Large imports
3. Low domestic price
4. Change in taste and fashion

Options 1. 1

2. 2
3. 3
4. 4

Q.34 What is the Marginal Rate of Substitution (MRS)?

- (A) The rate at which a consumer is willing to substitute one good for another.
- (B) Equal to the slope of the indifference curve.
- (C) Changes as we move along the indifference curve.
- (D) Is constant for perfect substitutes.

Choose the correct answer from the options given below:

1. (A), (B), and (D) only
2. (A), (B), and (C) only
3. (A), (B), (C), and (D)

4. (B), (C), and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.35 Arrange the following stages of Consumer's Equilibrium in the correct sequence under the utility analysis:

- (A) Marginal Utility becomes equal to the price of a commodity.
 - (B) Marginal Utility derived from a commodity X is greater than P_x .
 - (C) Increase the consumption of commodity X.
 - (D) The consumer reallocates expenditure to maximize satisfaction.
- Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (B), (D), (C), (A)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.36 Match List-I with List-II

List-I

List-II

(A) Capital receipts

(I) Excess of total expenditure over and above all total receipts of the government

(B) Corporate saving

(II) Borrowings of the government

(C) Budget deficit

(III) Retained earnings of firm

(D) Fiscal deficit

(IV) Create a liability for the government

Choose the correct answer from the options given below:

1. (A) – (I), (B) – (II), (C) – (III), (D) – (IV)
2. (A) – (I), (B) – (III), (C) – (II), (D) – (IV)
3. (A) – (I), (B) – (II), (C) – (IV), (D) – (III)
4. (A) – (IV), (B) – (III), (C) – (I), (D) – (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.37 In graphical representation, how is the aggregate demand function obtained?

1. By adding the consumption and investment functions vertically.
2. By adding the consumption and investment functions horizontally.
3. By subtracting the consumption function from investment functions.
4. By multiplying the consumption and investment functions.

Options 1. 1

2. 2
3. 3
4. 4

Q.38 The first book on Microeconomics, "An Inquiry into the Nature and Causes of the Wealth of Nations", was written by _____.

1. John Maynard Keynes
2. Adam Smith
3. David Ricardo
4. Thomas Malthus

Options 1. 1

2. 2
3. 3
4. 4

Q.39 Suppose in a hypothetical economy, the income rises from ₹5000 crores to ₹6000 crores.

As a result, the consumption expenditure rises from ₹4000 crores to ₹4600 crores.

Then what will be the Marginal Propensity to Consume (MPC)?

1. 0.8
2. 0.4
3. 0.2
4. 0.6

Options 1. 1

2. 2
3. 3
4. 4

Q.40 Match List-I with List-II

List-I

(A) Perfect Competition

(B) Increase in Demand = Decrease in Supply

(C) Increase in Demand > Decrease in Supply

(D) Increase in Supply > Decrease in Demand

List-II

(I) No change in equilibrium price

(II) Price taking Behavior

(III) Decrease in equilibrium price

(IV) Increase in equilibrium price

Choose the correct answer from the options given below:

1. (A)–(II), (B)–(I), (C)–(IV), (D)–(III)
2. (A)–(I), (B)–(III), (C)–(II), (D)–(IV)
3. (A)–(I), (B)–(II), (C)–(IV), (D)–(III)
4. (A)–(III), (B)–(IV), (C)–(I), (D)–(II)

Options 1. 1

2. 2
3. 3
4. 4

Q.41 Read the passage carefully and answer the questions based on the passage:

Demand and Technology

Consider the case of a local coffee shop that faces rising demand for its products. In response to the increase in demand, the shop owner decided to increase the price of a cup of coffee. As a result, suppliers in the market respond by increasing their supply, hoping to capitalize on the higher price. If the coffee shop invests in a new espresso machine that makes coffee more efficiently, the cost of producing each cup decreases. This leads to an increase in supply and sell more coffee at the same or lower price, benefiting both the producers and consumers. This cost-reduction technology is helpful in the context of the real world.

Which of the following is an example of Cost-Reduction Technology in a business?

1. Increased advertising cost.
2. Implementation of a new machine that speeds up production.
3. Raising prices to increase revenue.
4. Hiring more employees to expand the business.

Options 1. 1

2. 2
3. 3
4. 4

Q.42 Read the passage carefully and answer the questions based on the passage:

Demand and Technology

Consider the case of a local coffee shop that faces rising demand for its products. In response to the increase in demand, the shop owner decided to increase the price of a cup of coffee. As a result, suppliers in the market respond by increasing their supply, hoping to capitalize on the higher price. If the coffee shop invests in a new espresso machine that makes coffee more efficiently, the cost of producing each cup decreases. This leads to an increase in supply and sell more coffee at the same or lower price, benefiting both the producers and consumers. This cost-reduction technology is helpful in the context of the real world.

What is the main purpose of Cost Reduction Technologies in business?

1. To increase demand for a product.
2. To maintain price level and to increase profit margins.
3. To maintain high price in the market.
4. To reduce number of suppliers in the market.

Options 1. 1

2. 2

3. 3

4. 4

Q.43 Read the passage carefully and answer the questions based on the passage:

Demand and Technology

Consider the case of a local coffee shop that faces rising demand for its products. In response to the increase in demand, the shop owner decided to increase the price of a cup of coffee. As a result, suppliers in the market respond by increasing their supply, hoping to capitalize on the higher price. If the coffee shop invests in a new espresso machine that makes coffee more efficiently, the cost of producing each cup decreases. This leads to an increase in supply and sell more coffee at the same or lower price, benefiting both the producers and consumers. This cost-reduction technology is helpful in the context of the real world.

In Microeconomics, what does supply refer to?

1. The total amount of goods and services which consumers are willing to buy.
2. The total amount of goods and services which producers are willing to sell at different prices.
3. The total market demand for a product.
4. The amount of goods produced by the government.

Options 1. 1

2. 2

3. 3

4. 4

Q.44 Read the passage carefully and answer the questions based on the passage:

Demand and Technology

Consider the case of a local coffee shop that faces rising demand for its products. In response to the increase in demand, the shop owner decided to increase the price of a cup of coffee. As a result, suppliers in the market respond by increasing their supply, hoping to capitalize on the higher price. If the coffee shop invests in a new espresso machine that makes coffee more efficiently, the cost of producing each cup decreases. This leads to an increase in supply and sell more coffee at the same or lower price, benefiting both the producers and consumers. This cost-reduction technology is helpful in the context of the real world.

How does an increase in price affect supply?

1. It decreases the quantity supplied.
2. It does not affect the quantity supplied.
3. It increases the quantity supplied.
4. It decreases demand.

Options 1. 1

2. 2

3. 3

4. 4

Q.45 Read the passage carefully and answer the questions based on the passage:

Demand and Technology

Consider the case of a local coffee shop that faces rising demand for its products. In response to the increase in demand, the shop owner decided to increase the price of a cup of coffee. As a result, suppliers in the market respond by increasing their supply, hoping to capitalize on the higher price. If the coffee shop invests in a new espresso machine that makes coffee more efficiently, the cost of producing each cup decreases. This leads to an increase in supply and sell more coffee at the same or lower price, benefiting both the producers and consumers. This cost-reduction technology is helpful in the context of the real world.

In the above paragraph, which factor is affecting the supply of Coffee?

1. Change in consumer's preference.
2. Change in price of related goods.
3. Advancement of technology.
4. Government policy.

Options 1. 1

2. 2

3. 3

4. 4

Q.46 Read the passage carefully and answer the questions based on the passage:

Role of Money

In modern economics, money plays a very crucial role as medium of exchange, unit of account, store of value and standard of deferred payment. The banking system, a cornerstone of financial markets, facilitates the creation and circulation of money.

Commercial banks accept deposits from the public and provide loans. A fraction of the deposits are kept by the commercial banks as reserves and the rest is lent out. This amplifies the money supply in the economy through the 'Multiplier Effect'. The RBI as central Bank regulates the money supply through monetary policy tools. These tools influence the credit availability and overall liquidity in the system, impacting inflation, growth and employment.

What is the process through which banks create money?

1. Fractional reserve banking.
2. Credit creation.
3. Monetary policy.
4. Reserve management.

Options 1. 1

2. 2

3. 3

4. 4

Q.47 Read the passage carefully and answer the questions based on the passage:

Role of Money

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Commercial banks accept deposits from the public and provide loans. A fraction of the deposits are kept by the commercial banks as reserves and the rest is lent out. This amplifies the money supply in the economy through the 'Multiplier Effect'. The RBI as central Bank regulates the money supply through monetary policy tools. These tools influence the credit availability and overall liquidity in the system, impacting inflation, growth and employment.

What happens to money supply if the RBI increases the Cash Reserve Ratio (CRR)?

1. Money supply increases.
2. Money supply decreases.
3. Money supply remains constant.
4. No change in money supply.

Options 1. 1

2. 2
3. 3
4. 4

Q.48 Read the passage carefully and answer the questions based on the passage:

Role of Money

In modern economics, money plays a very crucial role as medium of exchange, unit of account, store of value and standard of deferred payment. The banking system, a cornerstone of financial markets, facilitates the creation and circulation of money.

Commercial banks accept deposits from the public and provide loans. A fraction of the deposits are kept by the commercial banks as reserves and the rest is lent out. This amplifies the money supply in the economy through the 'Multiplier Effect'. The RBI as central Bank regulates the money supply through monetary policy tools. These tools influence the credit availability and overall liquidity in the system, impacting inflation, growth and employment.

Which function of money helps in comparing the value of different goods and services?

1. Store of value.
2. Unit of account.
3. Standard of deferred payment.
4. Medium of exchange.

Options 1. 1

2. 2
3. 3
4. 4

Q.49 Read the passage carefully and answer the questions based on the passage:

Role of Money

In modern economics, money plays a very crucial role as medium of exchange, unit of account, store of value and standard of deferred payment. The banking system, a cornerstone of financial markets, facilitates the creation and circulation of money.

Commercial banks accept deposits from the public and provide loans. A fraction of the deposits are kept by the commercial banks as reserves and the rest is lent out. This amplifies the money supply in the economy through the 'Multiplier Effect'. The RBI as central Bank regulates the money supply through monetary policy tools. These tools influence the credit availability and overall liquidity in the system, impacting inflation, growth and employment.

If the reserve ratio is 20%, what is the money multiplier?

1. 5
2. 10
3. 20
4. 0.8

Options 1. 1

2. 2
3. 3
4. 4

Q.50 Read the passage carefully and answer the questions based on the passage:

Role of Money

In modern economics, money plays a very crucial role as medium of exchange, unit of account, store of value and standard of deferred payment. The banking system, a cornerstone of financial markets, facilitates the creation and circulation of money.

Commercial banks accept deposits from the public and provide loans. A fraction of the deposits are kept by the commercial banks as reserves and

the rest is lent out. This amplifies the money supply in the economy through the 'Multiplier Effect'. The RBI as central Bank regulates the money supply through monetary policy tools. These tools influence the credit availability and overall liquidity in the system, impacting inflation, growth and employment.

Which of the following are major functions of commercial banks?

1. Controlling money supply.
2. Printing of currency notes.
3. Granting loans and accepting deposits.
4. Regulator of financial market.

Options 1. 1

2. 2

3. 3

4. 4